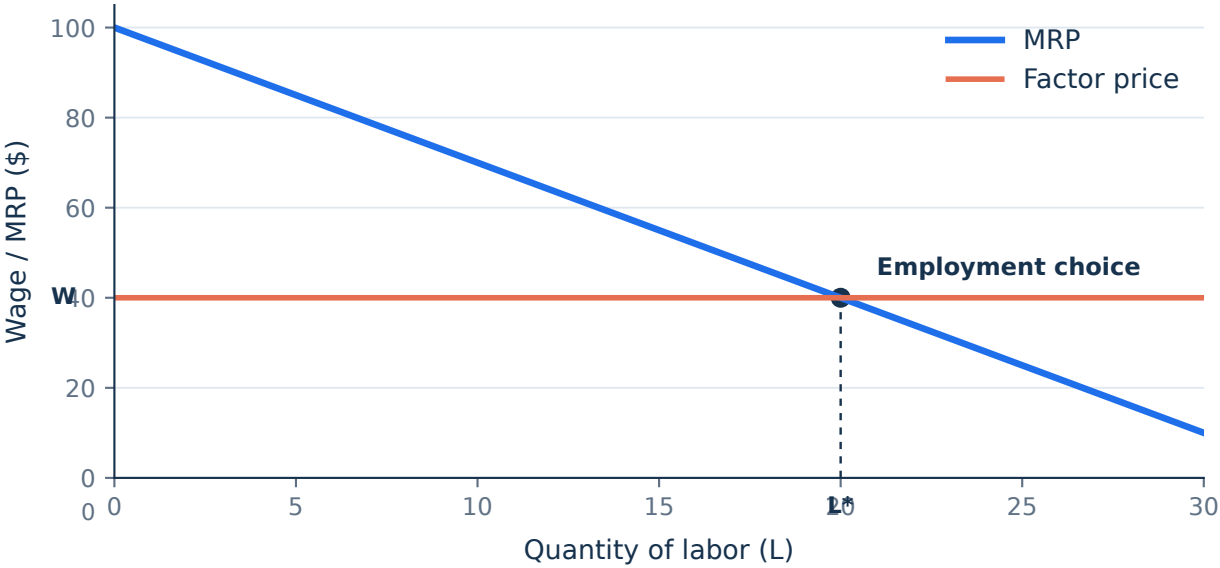
Derived demand for labor: hire until MRP equals factor price

The marginal revenue product curve links product-market conditions to input demand.



Source: APMICRO illustrative data / factor-market.csv. | Synthetic factor-demand schedule.